

Retail Research	IPO Note
Sector: Industrial (Auto Ancillary)	Price Band (Rs): 808 - 850
18th December 2023	Recommendation: Subscribe for Long Term Horizon.

Happy Forgings Limited

Company Overview:

The company is engaged in engineering, process design, testing, manufacturing and supply of various components to domestic and global commercial vehicles' Original Equipment Manufacturers (OEM's), manufacturers of farm equipment, off-highway vehicles and industrial equipment. As of FY23, the company is the fourth largest manufacturer of complex and safety critical, heavy forged and high precision machined components in India. The company is a leading player in the domestic crankshaft manufacturing industry with the second largest production capacity for commercial vehicle and high horse-power industrial crankshafts. The company's annual installed capacity for forgings and machining stood at 120,000 MT and 47,200 MT respectively as of September'23.

Key Highlights:

1. Diversified product portfolio: The company manufactures a wide range of heavy forged and machined products such as crankshaft, transmission parts, suspension products and other products for commercial vehicles, farm equipment, and off-highway vehicles. As per the Ricardo Report, Happy Forgings is the second company in India to have a 14,000-ton forging press or higher forging press and among the four companies in India that possess a 8,000-ton or higher forging press as of FY23.

2. Complex process and high entry barriers: The forging industry faces several challenges that create high barriers to entry, including (i) lengthy customer and product approval processes (ii) difficulty in acquiring new customers without existing relationships, (iii) the importance of implementing and sustaining quality systems and meeting customer requirements, and (iv) managing customer relationships and logistics. Additionally, precision product manufacturing is a capital-intensive business that involves complex technology, machinery and systems which create high entry barriers for competition.

3. Robust manufacturing facilities and increased focus on capital efficiencies: The company operates three manufacturing facilities with two manufacturing facilities located at Kanganwal, Punjab, spread over a built-up area of 184,765.5 sq ft and 439,128.0 sq ft and one located at Dugri, Punjab, spread over a built-up area of 1,771,208.5 sq ft. The manufacturing facilities are located near the inland container depot in Ludhiana, Punjab and dedicated freight corridor connecting to Mumbai, Maharashtra and Dankuni, West Bengal. As of FY23, the annual aggregate installed capacity for forging and machining was 107,000.0 MT and 46,100.0 MT respectively and the capacity utilization was 63.0% and 79.2%. The company is also focused on automation and efficiency to continuously improve its operating margins and is constantly looking for ways to streamline processes and improve the quality of products.

Valuation: The company is valued at FY23A and FY24E annualized PE multiple of 38.4x and 33.6x respectively, at the upper price band on post-issue capital. The company enjoys relatively higher margins than its listed peers due to higher share of machined products and efficient sourcing of steel which is the primary raw material for the company. Considering the relatively higher margins, superior return ratios and attractive valuation, we recommend investors to subscribe to the issue for long-term investment horizon.

Issue Details	
Date of Opening	19 th December 23
Date of Closing	21 st December 23
Price Band (Rs)	808-850
OFS	71,59,920 equity shares
Fresh Issue (Rs cr)	400
Issue Size (Rs cr)	979- 1,009
No. of shares	1,21,10,415 - 1,18,65,802
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	7,631 – 8,007
BRLMs	JM Financial, Axis Capital, Equirus Capital, Motilal Oswal
Registrar	Link Intime India Private Limited
Bid Lot	17 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Purchase of equipment, plant and machinery	171.1*
Prepayment of all or a portion of certain outstanding borrowings availed by the Company.	152.8
General corporate purposes^	-
Total proceeds from fresh issue	-

* This does not include certain portions of the cost borne by the Company through internal accruals.

^ To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	7,89,70,000	88.2
Public & Others	1,05,29,000	11.8
Total	8,94,99,000	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	7,40,47,555	78.4
Public & Others	2,04,01,940	21.6
Total	9,44,49,495	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	7,40,47,555	78.6
Public & Others	2,01,57,327	21.4
Total	9,42,04,882	100.0

Source: RHP, SSL Research

Key Financials

	FY22	FY23	1HFY24
Revenue from operations (Rs cr)	860	1,197	673
EBITDA (Rs cr)	231	341	195
Profit (Rs cr)	142	209	119
EBITDA Margin (%)	26.8	28.5	29.0
PAT Margin (%)	16.5	17.4	17.7
EPS (Rs)	15.9	23.3	13.3*
ROE (%)	18.1	21.1	10.8*
ROCE (%)	19.4	24.2	12.2*
Debt / Equity (x)	0.3	0.2	0.2 *

* Not Annualized

Financials for 1HFY24 reported on a Standalone basis.

Source: RHP, SSL Research

Risk Factors

- **Customer concentration risk:** The company derives a significant portion of its revenue accounting for 79.2%, 74.6%, 70.1% and 68.5% of its FY21, FY22, FY23 and 1HFY24 revenue respectively from its top 10 customers. The company relies on blanket purchase orders issued by its customers and does not necessarily sign contracts that set out the price or quantity of the products to be supplied. The purchase and supply agreements set forth the terms of sales but do not bind these customers to any specific products, specifications, purchase volumes or duration and can be terminated by these customers with or without cause and without compensation. The loss of any of these customers could have a material adverse effect on the business, financial condition, results of operations and cash flows.
- **Raw material sourcing risk:** The company requires high-quality steel of certain specifications which is supplied by a limited number of suppliers in the Indian market. The company doesn't enter into definitive-term agreements with its suppliers and delay to perform the operations by these suppliers can result in delay of production schedule and adversely affect output. The cost of steel as a percentage of total cost of materials in FY21, FY22, FY23 and 1HFY24 stood at 112.3%, 100.4%, 94.3% and 103.1% respectively. Interruptions in the supply of steel could adversely affect the business, financial condition, results of operations and cash flows.
- **Debt obligation risk:** The company has entered into various financing agreements with various lenders for short-term and long-term financing facilities including funding for working capital requirements and purchasing capital goods. As of October'23, the total outstanding borrowings of the company amounted to Rs 259.9 cr and the company's ability to fulfill its debt obligations is dependent upon the ability to generate sufficient cash-flows. An inability to comply with repayment and other covenants in the financing agreements could adversely affect the business, results of operations, cash flows and financial condition.
- **Competition:** The company faces significant competitive pressures in the business. Any inability to compete effectively would have a material adverse effect on the business, prospects, operations and financial results.

Growth Strategy

- **Increase the product portfolio:** Leverage in-house engineering and product development capabilities to grow its product portfolio and tap growing business opportunities in the industrial markets.
- **Diversify customer base:** Increase wallet share and acquire new business by leveraging existing OEM relationships and adding new customers.
- **Manufacturing Facility:** Expand capacity at current manufacturing facilities.
- **Inorganic growth:** Undertake inorganic growth through acquisitions or strategic partnerships and unlock synergies between target companies and the company in-line with the company's growth strategy.

Revenue from operations – Distribution Channels

Product-wise Breakdown	FY21*		FY22		FY23		1HFY24*	
	Amount in Rs cr	% of Revenue from Operations	Amount in Rs cr	% of Revenue from Operations	Amount in Rs cr	% of Revenue from Operations	Amount in Rs cr	% of Revenue from Operations
Forged Products	148.5	27.1	193.5	24.6	227.7	21.3	96.7	15.8
Machined Products	399.2	72.9	592.1	75.4	839.2	78.7	514.4	84.2
Revenue from Sale of Products	547.7	100.0	785.6	100.0	1,066.9	100.0	611.2	100.0

*Financials for FY21 and 1HFY24 reported on a Standalone basis.

Source: RHP, SSL Research

Revenue from operations – Region wise (India)

Regional breakdown	FY21*		FY22		FY23		1HFY24*	
	Amount in Rs cr	% of Domestic Gross Product Sales	Amount in Rs cr	% of Domestic Gross Product Sales	Amount in Rs cr	% of Domestic Gross Product Sales	Amount in Rs cr	% of Domestic Gross Product Sales
Automotive Sector								
Commercial Vehicles	205.4	37.5	335.6	42.7	465.7	43.7	246.8	40.4
Non-Automotive Sector								
Farm Equipment	240.3	43.9	318.0	40.5	392.5	36.8	203.6	33.3
Off-highway Vehicles	91.0	16.6	116.3	14.8	169.3	15.9	77.1	12.6
Industrial & Others	11.0	2.0	15.8	2.0	39.5	3.7	83.7	13.7
Total Non-Automotive Sector	342.3	62.3	450.0	57.3	601.3	56.4	364.3	59.6
Revenue from Sale of Products	547.7	100.0	785.6	100.0	1,066.9	100.0	611.2	100.0

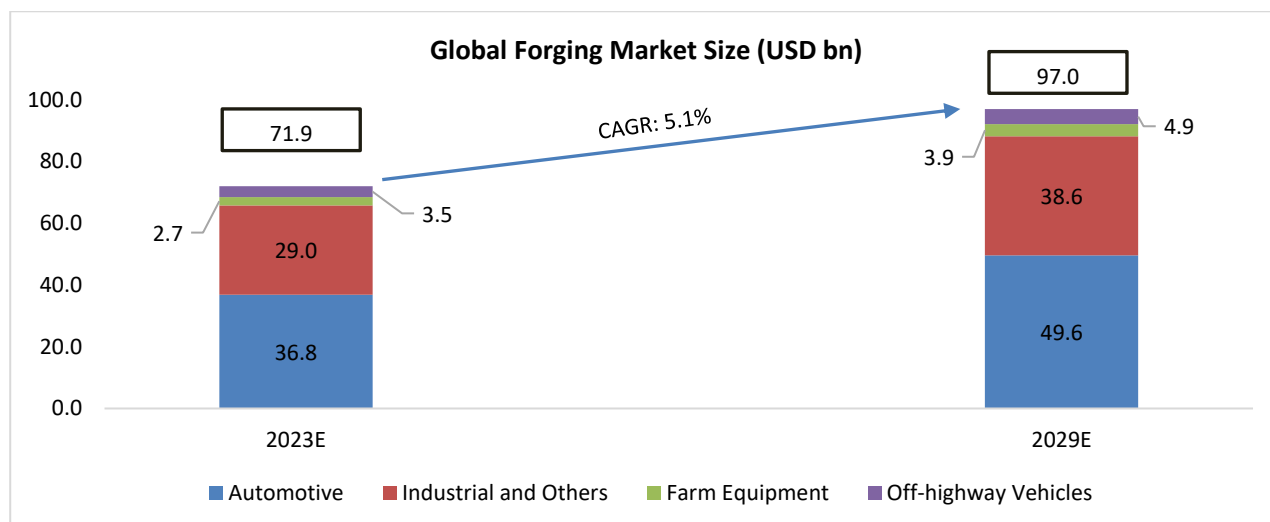
*Financials for FY21 and 1HFY24 reported on a Standalone basis.

Source: RHP, SSL Research

Industry Overview – Global Forging and Machining Market

Global Forging Market

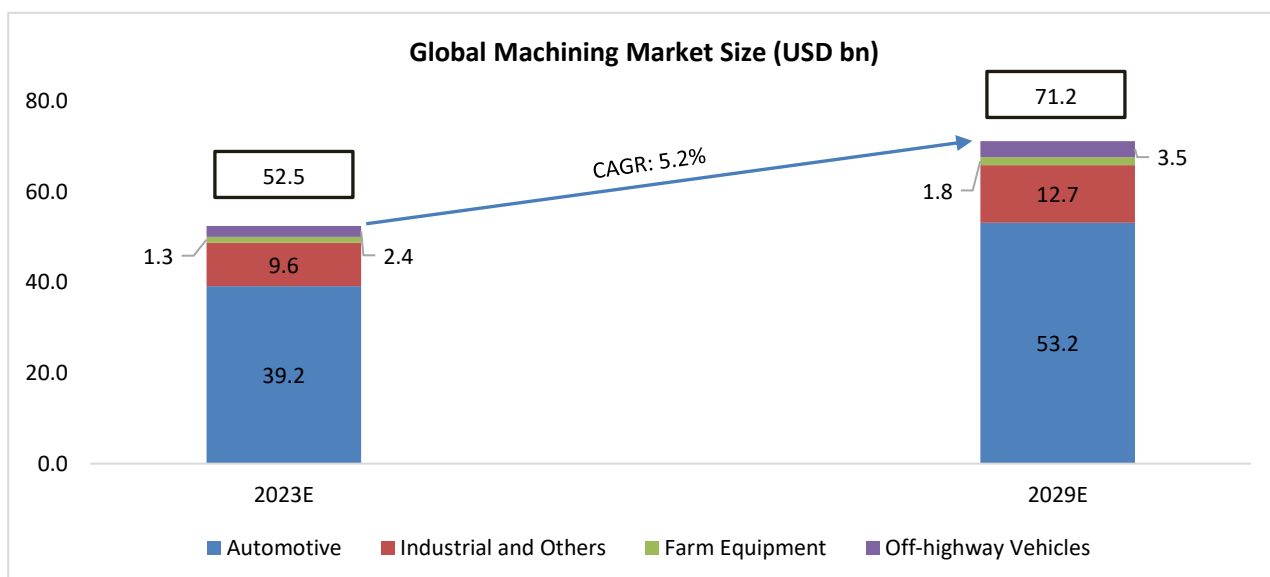
The global forging market grew at a CAGR of 3.5% between CY14 – CY22 and is estimated to be valued at USD 71.9 bn in CY23. The market is expected to grow at CAGR of 5.1% between CY23 – CY29 to reach USD 97.0 bn by CY29.



Source: RHP, SSL Research

Global Machining Market

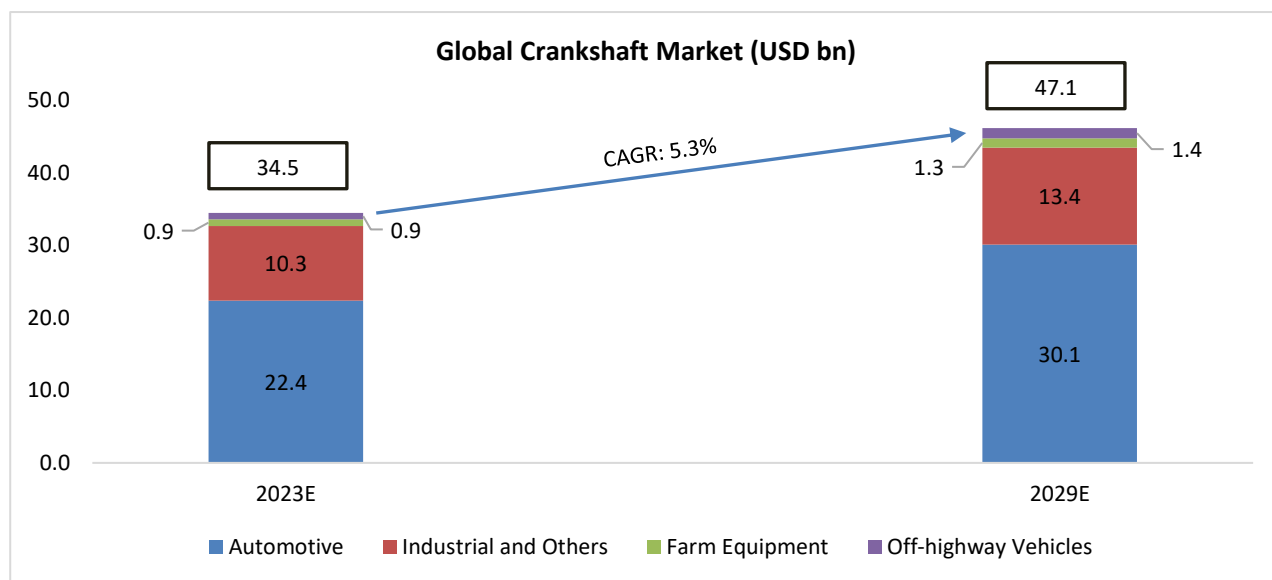
The global machining market grew at a CAGR of 1.1% between CY17 – CY22 and is estimated to be valued at USD 52.5 bn in CY23. The market is expected to grow at a CAGR of 5.2% between CY23 – CY29 to reach USD 71.2 bn by CY29.



Source: RHP, SSL Research

Global Crankshaft Market

The global crankshaft market for automotive, farm tractors, off-high vehicles and industrial and others grew at a CAGR of 1.1% between CY17 – CY22 and is estimated to be valued at USD 34.5 bn in CY23. The market is expected to grow at a CAGR of 5.3% between CY23 – CY29 to reach USD 47.1 bn by CY29. The crankshaft market in India for automotive, farm tractors, off-high vehicles and industrial and others is estimated to be valued at approximately Rs 5.2 bn in FY24 and is expected to grow at a CAGR of 8.3% by value between FY24 – FY29. The demand for advanced crankshafts with high strength and fatigue resistance is increasing due to the growing demand for high-performance vehicles.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT		
(Rs cr)	FY22	FY23
Revenue from Operations	860	1,197
YoY growth (%)	-	39.1
Cost Of Revenues (incl Stock Adj)	388	551
Gross Profit	472	645
Gross margins (%)	54.8	53.9
Employee Cost	69	88
Other Operating Expenses	172	217
EBITDA	231	341
EBITDA margins (%)	26.8	28.5
Other Income	6	6
Net Interest Exp.	7	12
Depreciation	38	54
Exceptional Items	0	0
PBT	192	280
Tax	50	71
PAT	142	209
PAT margin (%)	16.5	17.4
EPS	15.9	23.3

BALANCE SHEET		
(Rs cr)	FY22	FY23
Assets		
Net Block	455	677
Capital WIP	212	75
Intangible Assets under development	2	1
Other Non-current Assets	36	84
Current Assets		
Inventories	184	170
Trade receivables	222	308
Cash and Bank Balances	1	0
Other Current Assets	17	11
Total Current Assets	425	489
Current Liabilities & Provisions		
Trade payables	44	48
Other current liabilities	32	45
Short-term provisions	3	4
Total Current Liabilities	79	96
Net Current Assets	346	393
Total Assets	1,051	1,230
Liabilities		
Share Capital	18	18
Reserves and Surplus	770	970
Total Shareholders Funds	788	988
Total Debt	240	219
Net Deferred Tax Liability	23	23
Total Liabilities	1,051	1,230

Cash Flow (Rs cr)	FY22	FY23
Cash flow from Operating Activities	80	209
Cash flow from Investing Activities	-166	-172
Cash flow from Financing Activities	83	-37
Free Cash Flow	-111	35

RATIOS		
	FY22	FY23
Profitability		
Return on Assets (%)	12.6	15.7
Return on Capital (%)	19.4	24.2
Return on Equity (%)	18.1	21.1
Margin Analysis		
Gross Margin (%)	54.8	53.9
EBITDA Margin (%)	26.8	28.5
Net Income Margin (%)	16.5	17.4
Short-Term Liquidity		
Current Ratio (x)	1.7	1.9
Quick Ratio (x)	1.0	1.2
Avg. Days Sales Outstanding	94	94
Avg. Days Inventory Outstanding	78	52
Avg. Days Payables	19	15
Fixed asset turnover (x)	1.9	1.8
Debt-service coverage (x)	0.9	1.5
Long-Term Solvency		
Total Debt / Equity (x)	0.3	0.2
Interest Coverage Ratio (x)	27.8	23.4
Valuation Ratios		
EV/EBITDA (x)	34.0	23.0
P/E (x)	53.5	36.5
P/B (x)	9.7	7.7

Source: RHP, SSL Research

Peer Comparison

	Happy Forgings Ltd.	Bharat Forge Ltd.	Craftsman Automation Ltd.	Ramkrishna Forgings Ltd.	Sona BLW Precision Forgings Ltd.
CMP (Rs)	850.0	1,198.0	5,296.0	760.0	553.0
Sales (Rs cr)	1,196.5	12,190.0	3,183.0	3,193.0	2,676.0
EBITDA (Rs cr)	340.9	1,737.0	684.0	694.0	696.0
Net Profit (Rs cr)	208.7	508.0	251.0	248.0	395.0
M.Cap (Rs cr)	8,007.4	55,754.0	11,190.0	13,746.0	32,436.0
Enterprise Value (Rs cr)	8,225.6	61,978.0	12,653.0	15,243.0	32,630.0
EBITDA Margin (%)	28.5	14.2	21.5	21.7	26.0
Net Margin (%)	17.4	4.2	7.9	7.8	14.8
PE (x)	38.4	105.6	45.0	49.0	81.9
EV/EBITDA (x)	24.1	35.7	18.5	22.0	46.9
RoE (%)	21.1	7.7	19.8	20.6	18.3
RoCE (%)	24.2	6.9	20.6	18.5	22.0

The data is based on FY23 financial data.

For Happy Forgings Limited the Market cap, PE(x), and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 15th December'23.

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

Portfolio Manager: INP000004912 | IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

Registered & Corporate Office: Marathon Futurex, A Wing, 12th Floor, N. M. Joshi Marg, Lower Parel, Mumbai-400013.

For any information contact us:

022-6854 5555**E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

Analyst Certification: The views expressed in this research report ("Report") accurately reflect the personal views of the research analysts ("Analysts") employed by SBICAP Securities Limited (SSL) about any and all of the subject issuer(s) or company(ies) or securities. This report has been prepared based upon information available to the public and sources, believed to be reliable. I/We also certify that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

The Analysts engaged in preparation of this Report or his/her relative:-

- (a) do not have any financial interests in the subject company mentioned in this Report; (b) do not own 1% or more of the equity securities of the subject company mentioned in the report as of the last day of the month preceding the publication of the research report; (c) do not have any material conflict of interest at the time of publication of the Report.

The Analysts engaged in preparation of this Report:-

(a) have not received any compensation from the subject company in the past twelve months; (b) have not managed or co-managed public offering of securities for the subject company in the past twelve months; (c) have not received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (d) have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (e) has not received any compensation or other benefits from the subject company or third party in connection with the Report; (f) has not served as an officer, director or employee of the subject company; (g) is not engaged in market making activity for the subject company.

Name	Qualification	Designation
Sudeep Shah	MMS-Finance	DVP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	CA	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Sweta Padhi	MBA (Finance)	Research Analyst - Equity Fundamentals
Uday Chandgothia	B-Tech, MBA (Finance)	Research Associate - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Pratik Patni	BSc (Biotech Entire)	Research Analyst- Equity Derivatives
Ghanshyam Gupta	MBA (Finance)	Research Analyst- Currency Derivative
Sagar Peswani	B.Tech (ECE)	Research Associate - Equity Technicals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

For other Disclosures please visit: https://bit.ly/R_disclaimer02